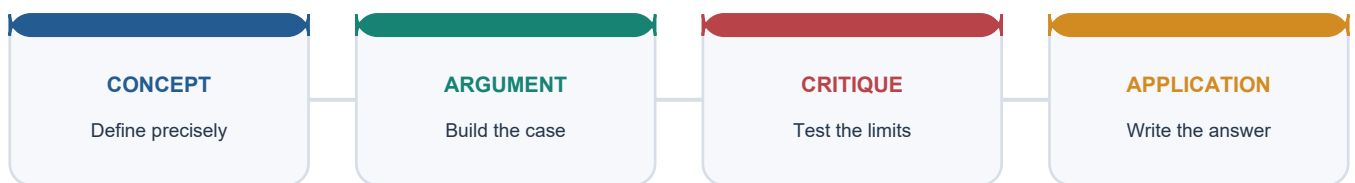


## COMPLETE LEARNING SESSION

# Polity Topic 29 - Finance Commission

## COMPLETE LEARNING SESSION

### LEARNING PATH



*Deterministic fallback visual: move from precise concepts through argument and critique to exam application.*

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Source order: repository knowledge -> official current linkage -> clearly marked analysis. No fabricated PYQs or statistics.

# LEARNING SESSION CONTENTS

Major learning parts and meaningful subtopics are listed in document order. Page numbers are generated from the final PDF layout; PDF bookmarks mirror the same hierarchy.

|                                                                                                         |           |
|---------------------------------------------------------------------------------------------------------|-----------|
| <b>Polity Topic 29 - Finance Commission</b>                                                             | <b>5</b>  |
| <b>Source and status control</b>                                                                        | <b>5</b>  |
| Current official source register                                                                        | 5         |
| Source limits                                                                                           | 6         |
| Learning roadmap                                                                                        | 6         |
| <b>BASIC LEARNING SESSION</b>                                                                           | <b>6</b>  |
| SESSION 1 - Fiscal federalism and the two imbalances                                                    | 6         |
| SESSION 2 - Decoded constitutional revenue spine                                                        | 7         |
| SESSION 3 - Article 280: appointment, composition and functions                                         | 8         |
| SESSION 4 - Finance Commission Act, 1951: qualifications and procedure                                  | 9         |
| SESSION 5 - Advisory character, Article 281 and implementation                                          | 10        |
| SESSION 6 - Divisible pool, vertical devolution and cesses                                              | 11        |
| SESSION 7 - Horizontal devolution and the FC-16 formula                                                 | 12        |
| SESSION 8 - Article 275 grants and transfer design                                                      | 13        |
| SESSION 9 - Local bodies: Union Finance Commission and State Finance Commission                         | 14        |
| SESSION 10 - Disaster-risk financing                                                                    | 15        |
| SESSION 11 - Evolution from FC-14 and FC-15                                                             | 16        |
| SESSION 12 - Sixteenth Finance Commission: recommendation, acceptance and action                        | 17        |
| SESSION 13 - Equalisation, incentives, autonomy and fiscal discipline                                   | 18        |
| SESSION 14 - Institutional distinctions                                                                 | 19        |
| SESSION 15 - Cases and legal boundaries                                                                 | 20        |
| SESSION 16 - Reform agenda and answer spine                                                             | 22        |
| <b>BASIC MCQS / REMEDIATION</b>                                                                         | <b>23</b> |
| MCQ 1. Article 280 requires the President to constitute a Finance Commission:                           | 23        |
| MCQ 2. The constitutionally fixed composition of a Finance Commission is:                               | 23        |
| MCQ 3. Who is constitutionally authorised to determine Finance Commission member qualifications by law? | 23        |
| MCQ 4. Under the 1951 Act, the Chairman should be selected from persons with:                           | 23        |
| MCQ 5. Which is one statutory qualification pool for an 'other member'?                                 | 24        |
| MCQ 6. The Finance Commission's inquiry powers are best described as:                                   | 24        |

|                                                                                              |    |
|----------------------------------------------------------------------------------------------|----|
| MCQ 7. Which statement best captures the legal status of Finance Commission recommendations? | 24 |
| MCQ 8. Article 281 requires the President to place before each House:                        | 24 |
| MCQ 9. Under Article 279, 'net proceeds' means:                                              | 25 |
| MCQ 10. Which item is constitutionally excluded from Article 270 sharing?                    | 25 |
| MCQ 11. Article 269A is most directly associated with:                                       | 25 |
| MCQ 12. Which distinction between Article 279A and Article 280 is correct?                   | 25 |
| MCQ 13. Vertical devolution answers which question?                                          | 26 |
| MCQ 14. Horizontal devolution refers to:                                                     | 26 |
| MCQ 15. In FC-16, per-capita GSDP distance primarily advances:                               | 26 |
| MCQ 16. FC-16's area criterion applies which floor?                                          | 26 |
| MCQ 17. FC-16's forest variable includes:                                                    | 27 |
| MCQ 18. FC-16 measures demographic performance through:                                      | 27 |
| MCQ 19. How is FC-16's contribution-to-GDP criterion transformed?                            | 27 |
| MCQ 20. Which FC-16 criterion carries 17.5 per cent weight?                                  | 27 |
| MCQ 21. Article 275 is most directly associated with:                                        | 28 |
| MCQ 22. Which statement correctly distinguishes devolution from grants?                      | 28 |
| MCQ 23. Under the accepted FC-16 local-body design, which statement is correct?              | 28 |
| MCQ 24. Article 280(3)(bb) and (c) require the Union Finance Commission to recommend:        | 28 |
| MCQ 25. A State Finance Commission is constituted by the:                                    | 29 |
| MCQ 26. What did FC-16 recommend regarding revenue-deficit grants for 2026-31?               | 29 |
| MCQ 27. The accepted FC-16 corpus for SDRF and SDMF together over 2026-31 is:                | 29 |
| MCQ 28. Which response term applies to the FC-16 State borrowing-ceiling quantum?            | 29 |
| MCQ 29. The main federal concern with rising cesses and surcharges is that they:             | 30 |
| MCQ 30. Why are off-budget borrowings relevant to Finance Commission analysis?               | 30 |
| MCQ 31. What proposition from Mohit Minerals (2022) is safe to use here?                     | 30 |
| MCQ 32. GST compensation is best located as:                                                 | 30 |

## **PYQS AND ANSWER PRACTICE . . . . . 31**

|                                                              |    |
|--------------------------------------------------------------|----|
| Verified PYQ control . . . . .                               | 31 |
| PYQ 1 - UPSC GS-II 2018, Q14 - 15 marks, 250 words . . . . . | 31 |
| PYQ 2 - UPSC GS-II 2021, Q3 - 10 marks, 150 words . . . . .  | 31 |
| PYQ 3 - UPSC Prelims 2023, Q29 . . . . .                     | 32 |
| PYQ 4 - UPSC Prelims 2025, Q66 . . . . .                     | 32 |

|                                                                                      |           |
|--------------------------------------------------------------------------------------|-----------|
| PYQ 5 - UPSC GS-II 2025, Q14 - adjacent owner . . . . .                              | 32        |
| ORIGINAL SOLVED MAINS PRACTICE - EXACTLY SIX . . . . .                               | 33        |
| Original Mains 1 - 10 marks, 150 words . . . . .                                     | 33        |
| Original Mains 2 - 10 marks, 150 words . . . . .                                     | 33        |
| Original Mains 3 - 15 marks, 250 words . . . . .                                     | 33        |
| Original Mains 4 - 15 marks, 250 words . . . . .                                     | 34        |
| Original Mains 5 - 20 marks, 250 words . . . . .                                     | 34        |
| Original Mains 6 - 20 marks, 250 words . . . . .                                     | 34        |
| <b>OPTIONAL ADVANCED DEPTH - NOT REQUIRED FOR A CORE ANSWER . . . . .</b>            | <b>35</b> |
| ADVANCED SESSION A - Formula mechanics without false precision . . . . .             | 35        |
| ADVANCED SESSION B - Local-body grant architecture . . . . .                         | 36        |
| ADVANCED SESSION C - Cesses, surcharges and constitutional reform choices . . . . .  | 37        |
| ADVANCED SESSION D - FC-16 implementation dashboard . . . . .                        | 37        |
| <b>CONSOLIDATED REGISTER NOTES . . . . .</b>                                         | <b>39</b> |
| Core constitutional identity . . . . .                                               | 39        |
| Revenue-flow strip . . . . .                                                         | 39        |
| Constitution versus 1951 Act . . . . .                                               | 39        |
| Vertical and horizontal devolution . . . . .                                         | 39        |
| Grants, local bodies and disaster finance . . . . .                                  | 40        |
| Sixteenth Finance Commission current card - controlled to 8 September 2026 . . . . . | 40        |
| Institutions and case . . . . .                                                      | 40        |
| High-yield traps . . . . .                                                           | 40        |
| Mains answer spine . . . . .                                                         | 41        |
| Qualified conclusion . . . . .                                                       | 41        |

# Polity Topic 29 - Finance Commission

**Control date:** 8 September 2026 (Asia/Kolkata) **Evidence labels:** [FACT] directly supported by a named source; [CURRENT] time-sensitive official position; [ANALYSIS] reasoned exam use; [LIMIT] boundary against overstatement.

## Source and status control

1. Canonical Markdown owners: Polity/basic/Finance-Commission.md, Polity/advanced/29\_Finance-Commission.md, the complete-topic owner, and linked Centre-State Relations, Panchayats, Municipalities, CAG and Economy fiscal-federalism owners.
2. OCR check: local editions of *Indian Polity* by M. Laxmikanth, especially the Centre-State financial-relations discussion and local-body finance cross-link.
3. Official law: Constitution of India, Articles 243-I, 243-Y, 269, 269A, 270, 271, 275, 279, 279A, 280, 281 and 282; Finance Commission (Miscellaneous Provisions) Act, 1951.
4. Current official control: Presidential Order S.O. 5533(E), 31 December 2023; extension Order S.O. 4640(E), 10 October 2025; Sixteenth Finance Commission Report, Volume I; February 2026 Explanatory Memorandum; Union Budget 2026-27; official May 2026 rural-local-body and July 2026 disaster-fund implementation material.
5. Judicial and institutional control: Supreme Court judgment in *Union of India v Mohit Minerals Pvt. Ltd.* (2022), CAG constitutional material, RBI fiscal-federalism material and State Finance Commission provisions.

**Current-status rule:** a Commission recommendation, Union acceptance, a Presidential order, a Budget provision, an operational guideline and an actual release are different legal or fiscal events. This package never treats one as proof of all the others.

## Current official source register

| Source                                                                  | Date / period            | Use                                                                      |
|-------------------------------------------------------------------------|--------------------------|--------------------------------------------------------------------------|
| Constitution of India, Legislative Department consolidation             | as on 1 May 2024         | constitutional text                                                      |
| Finance Commission (Miscellaneous Provisions) Act, 1951, Act 33 of 1951 | current statute          | qualifications, interest, disqualification, tenure, procedure and powers |
| Order S.O. 5533(E)                                                      | 31 Dec 2023              | constitution and terms of reference of FC-16                             |
| Order S.O. 4640(E)                                                      | 10 Oct 2025              | report deadline extended to 30 Nov 2025                                  |
| Sixteenth Finance Commission Report, Volume I                           | submitted 17 Nov 2025    | recommendations for 2026-27 to 2030-31                                   |
| Explanatory Memorandum on action taken                                  | laid 1 Feb 2026          | Union response                                                           |
| Union Budget Speech 2026-27                                             | 1 Feb 2026               | first-year Budget provision                                              |
| Department of Expenditure RLB operational guidelines                    | letter dated 21 May 2026 | implementation of rural-local-body grants                                |
| MHA disaster-fund operational guidelines                                | 31 Jul 2026              | implementation of SDRF/SDMF arrangements                                 |

**Official access points:** Legislative Department Constitution page; India Code Act record; [fincomindia.nic.in/commission-reports-sixteenth](https://fincomindia.nic.in/commission-reports-sixteenth); [indiabudget.gov.in/doc/16fc.pdf](https://indiabudget.gov.in/doc/16fc.pdf); [indiabudget.gov.in/doc/16fcvol1.pdf](https://indiabudget.gov.in/doc/16fcvol1.pdf); Supreme Court judgment dated 19 May 2022 in *Mohit Minerals*; CAG constitutional-provisions page; RBI *State Finances: A Study of Budgets*; Kerala Finance Department SFC reports page as a State-official check on the Article 243-I/243-Y reporting chain.

## Source limits

- The India Code record and section text controlled the 1951 Act; one direct government PDF endpoint was intermittently unavailable during retrieval.
- No separately titled public Article 270 distribution order for the FC-16 award was independently located. The package therefore states the February 2026 Memorandum's promised order stage and relies on the Budget and dated operational guidelines only for the implementation they actually evidence.
- State-wise horizontal shares and volatile release figures are omitted because they are not needed to explain the constitutional mechanism. Five-year recommendation totals are never presented as annual expenditure.
- *Mohit Minerals* is the only retained judgment and is confined to its GST Council holding. No direct Finance Commission litigation proposition is invented.

## Learning roadmap

fiscal mismatch

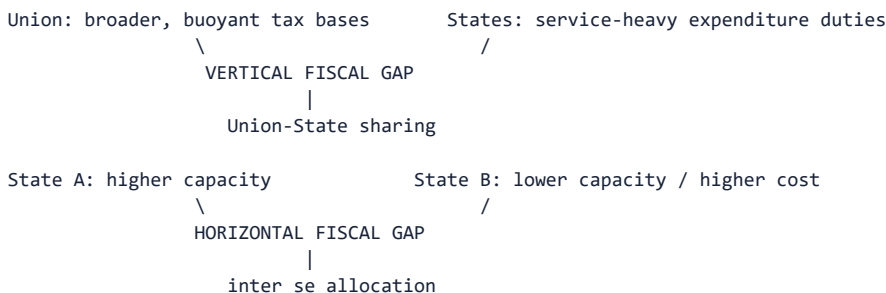
- > constitutional revenue spine
- > Article 280 institution
- > 1951 Act and procedure
- > Article 281 accountability
- > divisible pool
- > vertical and horizontal devolution
- > grants and local bodies
- > disaster finance
- > FC-14/FC-15 evolution
- > FC-16 current map
- > institutions, cases, debates and answer writing

## BASIC LEARNING SESSION

### SESSION 1 - Fiscal federalism and the two imbalances

#### VISUAL FIRST

CONSTITUTIONAL ASSIGNMENT



#### Definition

**Fiscal federalism** is the constitutional and institutional allocation of revenue powers, expenditure responsibilities, transfers and borrowing space across levels of government.

#### Answer line

The Finance Commission is a periodic constitutional equalisation mechanism: it addresses both the Union-State resource gap and unequal fiscal capacity among States without becoming a permanent spending ministry.

#### Must-write keywords

vertical fiscal imbalance - horizontal fiscal imbalance - equalisation - autonomy - rule-based transfers

#### Finance-Commission-specific paragraph model

- **Claim:** India needs a Finance Commission because constitutional tax assignment and service responsibility do not automatically match.

- **Named evidence:** Article 280 creates a periodic Commission; the Sixteenth Finance Commission describes equity and efficiency as guides to horizontal devolution.
- **Analysis:** Rule-based sharing reduces ad hoc bargaining, while equalisation helps comparable public services despite unequal tax capacity and costs.
- **Qualification:** A fiscal gap is not measured from tax assignment alone; own revenue, devolution, grants, borrowing and expenditure obligations must be read together.

### Evidence and explanation

- **[FACT] Vertical imbalance** asks how the shareable pool is divided between the Union and all States collectively.
- **[FACT] Horizontal imbalance** asks how the States' collective share is divided among individual States.
- **\*\*[ANALYSIS]** Equalisation does not mean identical rupee transfers; it means adjusting for unequal capacity and cost so minimum public services become more comparable.
- **\*\*[LIMIT]** The Commission is central, but Article 282 grants, Centrally Sponsored Schemes, GST arrangements, borrowing and State own revenues also shape fiscal federalism.

### Prelims trap

Vertical means Union versus States; horizontal means among States. Reversing them loses easy marks.

### Mains use

Use this session to introduce any answer on fiscal federalism, devolution, grants or State autonomy.

### Recap

Assignment creates two gaps; Article 280 supplies a periodic, reasoned balancing process.

## SESSION 2 - Decoded constitutional revenue spine

### VISUAL FIRST

| Provision        | What it does                                                                 | Why it matters here                             |
|------------------|------------------------------------------------------------------------------|-------------------------------------------------|
| Article 269      | Union levies/collects specified inter-State taxes and assigns them to States | assigned taxes are not the Article 270 pool     |
| Article 269A     | inter-State GST is levied/collected by Union and apportioned                 | connects GST settlement with Article 270        |
| Article 270      | shareable Union taxes distributed between Union and States                   | source of the divisible pool                    |
| Article 271      | Parliament may add a Union-purpose surcharge                                 | proceeds belong wholly to Union                 |
| Article 279      | defines net proceeds and makes CAG certification final                       | fixes the distributable base                    |
| Article 279A     | creates GST Council                                                          | tax-policy coordination, not Finance Commission |
| Articles 280-281 | Commission and parliamentary laying                                          | recommendation plus accountability              |

### Definition

The **constitutional revenue spine** is the linked set of provisions that identifies assigned taxes, apportioned GST, shareable taxes, exclusions, net proceeds, the recommending body and disclosure to Parliament.

### Answer line

A precise answer begins with the tax route: identify whether revenue is assigned under Article 269, apportioned under Article 269A, shared under Article 270 or excluded as an Article 271 surcharge.

### Must-write keywords

Article 269 - Article 269A - Article 270 - Article 271 - Article 279 - Article 279A

### Finance-Commission-specific paragraph model

- **Claim:** The divisible pool is a constitutionally delimited base, not a synonym for Union gross tax revenue.
- **Named evidence:** Articles 270(1), 270(1A), 271 and 279 define inclusion, GST cross-links, exclusion and certification.
- **Analysis:** The classification determines whether and how revenue reaches States; the Commission recommends shares within that legal architecture.
- **Qualification:** Exact treatment can depend on the levy and constitutional clause; avoid saying that every Union tax or every cess is shareable.

### Evidence and explanation

- **[FACT] Article 270** covers specified Union taxes and duties and, through clause (1A), the relevant GST collected under Article 246A(1) and the Union-apportioned part under Article 269A.
- **[FACT] Article 269A** places inter-State GST in a Union collection/apportionment mechanism framed by parliamentary law on GST Council recommendations.
- **[FACT] Article 271** authorises a surcharge for Union purposes; its proceeds form part of the Consolidated Fund of India and are excluded from sharing.
- **[FACT] Article 279** defines net proceeds as proceeds minus collection cost; the CAG ascertains and certifies them, and the certificate is final.

### Prelims trap

The GST Council under Article 279A does not decide the Finance Commission's vertical or horizontal devolution formula.

### Mains use

Draw this table before discussing cesses, GST or the divisible pool; it prevents category errors.

### Recap

Classify the levy first, then identify the pool, then apply vertical and horizontal shares.

## SESSION 3 - Article 280: appointment, composition and functions

### VISUAL FIRST

```
PRESIDENT
|
+-- every fifth year OR earlier if necessary
|
+-- appoints Chair + four other members
|
+-- receives recommendations on:
    (a) vertical + horizontal tax sharing
    (b) Article 275 grant principles
    (bb) Panchayat augmentation
    (c) Municipality augmentation
    (d) other referred sound-finance matters
```

### Definition

The **Finance Commission** is a periodic constitutional body constituted by the President under Article 280 to recommend tax distribution, grant principles, local-body augmentation and referred matters of sound finance.

### Answer line

Article 280 supplies the institution's fixed constitutional core; the President's terms of reference may add matters under clause (3)(d), but cannot erase the listed duties.

### Must-write keywords

President - every fifth year or earlier - Chairman plus four - Article 280(3) - sound finance



### Finance-Commission-specific paragraph model

- **Claim:** The Commission combines a mandatory constitutional mandate with a flexible presidential reference power.
- **Named evidence:** Article 280(1), (2) and (3)(a)-(d).
- **Analysis:** Fixed functions protect federal predictability, while clause (d) lets each award address contemporary fiscal risks.
- **Qualification:** The President appoints members, but Parliament - not the President alone - is constitutionally authorised to prescribe qualifications by law.

### Evidence and explanation

- **[FACT] Periodicity:** within two years of constitutional commencement and thereafter every fifth year, or earlier if the President considers necessary.
- **[FACT] Composition:** one Chairman and four other members.
- **[FACT] Article 280(3)(a):** distribution between Union and States and allocation among States of their respective shares.
- **[FACT] Article 280(3)(b), Article 280(3)(bb), Article 280(3)(c) and Article 280(3)(d):** Article 275 grant principles, Panchayat augmentation, Municipality augmentation and additional presidential references in the interests of sound finance.

### Prelims trap

Do not write 'five members plus a Chairman'; the total is five: Chairman plus four.

### Mains use

Use the constitutional/statutory split when the question asks how the Commission is constituted.

### Recap

Article 280 fixes why, when, how large and what core tasks; the 1951 Act supplies operational detail.

## SESSION 4 - Finance Commission Act, 1951: qualifications and procedure

### VISUAL FIRST

| Statutory field    | Controlled rule                                                                                                     |
|--------------------|---------------------------------------------------------------------------------------------------------------------|
| Chairman           | experience in public affairs                                                                                        |
| other-member pools | High Court judge/qualified person; government finance and accounts; financial matters and administration; economics |
| personal interest  | President must be satisfied no prejudicial interest exists                                                          |
| disqualification   | unsound mind, undischarged insolvent, moral-turpitude conviction, prejudicial interest                              |
| term               | period specified by President; reappointment permitted; resignation to President                                    |
| procedure/powers   | Commission determines procedure; specified civil-court powers for inquiry                                           |

### Definition

The **Finance Commission (Miscellaneous Provisions) Act, 1951** operationalises Article 280 by prescribing member qualifications, integrity safeguards, service conditions, procedure and evidentiary powers.

### Answer line

The Constitution creates the body; Parliament's 1951 Act supplies the expertise and inquiry framework needed to turn a federal mandate into an evidence-based award.

### Must-write keywords

Act 33 of 1951 - public affairs - government finance and accounts - reappointment - civil-court powers

### Finance-Commission-specific paragraph model

- **Claim:** Expert composition matters because devolution requires legal, accounting, administrative and economic judgment.
- **Named evidence:** Sections 3-8 of the Finance Commission (Miscellaneous Provisions) Act, 1951.
- **Analysis:** Plural expertise improves the Commission's ability to test State memoranda, revenue projections, grant conditions and fiscal risks.
- **Qualification:** Civil-court-like powers support evidence gathering; they do not transform the Commission into a court or make its recommendations judicial decrees.

### Evidence and explanation

- **[FACT] Section 3** lists the Chairman's public-affairs qualification and four alternative qualification categories for other members.
- **[FACT] Sections 4-5** address prejudicial interests and disqualifications.
- **[FACT] Section 6** permits the President to specify the term; members are eligible for reappointment and may resign to the President.
- **[FACT] Section 8** lets the Commission determine its procedure and grants listed civil-court powers such as summoning witnesses and requiring documents.

### Prelims trap

Do not claim that Article 280 itself lists the four specialist qualifications; they come from the 1951 Act.

### Mains use

A strong constitution answer separates constitutional architecture from statutory mechanics.

### Recap

Article 280 creates; the 1951 Act qualifies, screens and equips.

## SESSION 5 - Advisory character, Article 281 and implementation

### VISUAL FIRST

```
Commission recommendation
|
v
report submitted to President
|
v
Article 281: report + explanatory memorandum laid before each House
|
+-- accepted recommendation
+-- accepted in principle
+-- taken note of
+-- to be examined separately
|
v
President's order / Budget / law / guideline / release
```

### Definition

The Commission's recommendations are **advisory**: Article 281 requires public parliamentary explanation of action taken, not automatic legal self-execution of every recommendation.

### Answer line

The Finance Commission is non-binding in formal law but weighty in constitutional politics because rejection or modification must confront a reasoned, public, federal expert report.

### Must-write keywords

advisory - Article 281 - explanatory memorandum - acceptance - implementation

### Finance-Commission-specific paragraph model

- **Claim:** Constitutional weight and legal enforceability are different dimensions.
- **Named evidence:** Article 281 and the February 2026 Explanatory Memorandum on FC-16.
- **Analysis:** Public reasons, budget consequences and recurring federal negotiations make recommendations harder to disregard than ordinary advice.
- **Qualification:** Laying the report does not itself appropriate money, amend the Constitution, issue every operational guideline or prove actual release.

### Evidence and explanation

- **[FACT] Article 281** requires the President to cause every recommendation, together with an explanatory memorandum on action taken, to be laid before each House of Parliament.
- **\*\*[CURRENT]** FC-16's report and Explanatory Memorandum were laid on 1 February 2026.
- **\*\*[CURRENT]** The Memorandum uses distinct status language: accepted, accepted in principle, taken note of, to be examined separately and to be acted upon in due course.
- **\*\*[LIMIT]** Implementation may require a Presidential order under Article 270, Budget provision, statutory authority, ministry guidelines, State compliance and actual release.

### Prelims trap

Do not write that Parliament 'approves' the report under Article 281; the constitutional verb is laying, accompanied by an explanatory memorandum.

### Mains use

Status vocabulary is an excellent qualification in any current-affairs answer.

### Recap

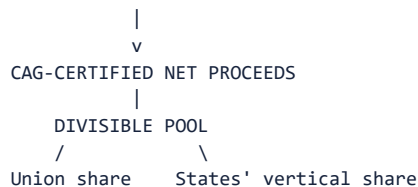
Recommendation -> response -> legal/budget instrument -> release: never collapse the chain.

## SESSION 6 - Divisible pool, vertical devolution and cesses

### VISUAL FIRST

UNION GROSS TAX REVENUE

- Article 271 surcharges
- specific-purpose cesses excluded by Article 270 design
- Article 269 / 269A assigned-apportioned routes
- Union Territory share where applicable
- cost of collection



### Definition

**Vertical devolution** is the recommended percentage of the divisible pool assigned collectively to States; it is not the States' percentage of gross tax revenue.

### Answer line

The headline vertical share must always be read with its base: exclusions and collection cost determine how much revenue the percentage actually reaches.

### Must-write keywords

gross tax revenue - net proceeds - divisible pool - 41 per cent - cess - surcharge

### Finance-Commission-specific paragraph model

- **Claim:** Cesses and surcharges create a base-versus-rate problem in fiscal federalism.
- **Named evidence:** Articles 270, 271 and 279; FC-16 Report Chapter 7; Explanatory Memorandum paragraphs 3-4.
- **Analysis:** Even an unchanged vertical percentage can yield a different effective transfer relative to gross tax revenue if the shareable base changes.
- **Qualification:** FC-16 rejected the claim that cesses and surcharges had almost wiped out the FC-14 increase, yet acknowledged that their rise reduced devolution below what it would otherwise have been.

### Evidence and explanation

- **[CURRENT]** FC-16 recommended retaining States' vertical share at 41 per cent of net proceeds; the Union accepted it.
- **[CURRENT]** FC-16 recommended annual Union disclosure of Article 279 CAG-certified net-proceeds data; the Union accepted it.
- **[FACT]** FC-16 calculated the divisible pool at an average 89.2 per cent of gross tax revenue in the FC-13 period, 82.1 per cent in FC-14 and 78.3 per cent in FC-15.
- **[FACT]** FC-16 did not recommend including cesses/surcharges in the pool or imposing a numerical cap; it treated such change as requiring constitutional reconsideration and retained the existing design.

### Prelims trap

41 per cent is not 41 per cent of gross tax revenue, and it is not a State-wise share.

### Mains use

Use the base-versus-rate distinction to evaluate State autonomy without making an exaggerated 'no benefit' claim.

### Recap

Net pool first; vertical rate second; effective transfer and grants last.

## SESSION 7 - Horizontal devolution and the FC-16 formula

### VISUAL FIRST

| FC-16 criterion          | Weight | Operating idea                                     |
|--------------------------|--------|----------------------------------------------------|
| per-capita GSDP distance | 42.5%  | larger gap from benchmark -> stronger equalisation |
| population, Census 2011  | 17.5%  | scale of service need                              |
| demographic performance  | 10%    | inverse population growth, 1971-2011               |
| area                     | 10%    | cost/scale, with 1.5% floor                        |
| forest                   | 10%    | weighted forest stock plus increase                |
| contribution to GDP      | 10%    | square-root-transformed GSDP share                 |

### Definition

**Horizontal devolution** allocates the States' collective vertical share among the twenty-eight States through a weighted formula balancing equity, need, cost and contribution.

### Answer line

FC-16's horizontal formula remains equalisation-heavy, but adds a bounded contribution-to-GDP criterion and changes how demography, area and forest are measured.

### Must-write keywords

per-capita GSDP distance - 2011 population - inverse growth - 1.5 per cent floor - weighted forest - GDP contribution

### Finance-Commission-specific paragraph model

- **Claim:** The formula is not a simple reward table; each criterion converts State data into a relative share before weights are combined.
- **Named evidence:** FC-16 Report paragraphs 8.84-8.97 and Technical Note, Table 8.8; accepted in the Explanatory Memorandum.
- **Analysis:** The 42.5 per cent distance weight preserves redistribution, while the 10 per cent GDP contribution term makes productive contribution visible without allocating directly in proportion to output.
- **Qualification:** Weights are award-specific. Do not carry FC-15's tax/fiscal-effort criterion into FC-16.

### Evidence and explanation

- **[CURRENT] Population:** each State's share of the 2011 Census population of twenty-eight States.
- **[CURRENT] Demographic performance:** per-capita amount proportional to inverse population growth between 1971 and 2011, then multiplied by 2011 population.
- **[CURRENT] Forest:** 80 per cent weighted forest-area share plus 20 per cent share in increase from 2015 to 2023; VDF/MDF/OF weights are 1.0/0.65/0.30 and decline is treated as zero.
- **[CURRENT] GDP contribution:** square root of State GSDP divided by the sum of square roots, using average nominal GSDP for 2018-19 to 2023-24 excluding 2020-21.

### Prelims trap

Demographic performance is not current TFR in FC-16; tax/fiscal effort is not a separate FC-16 criterion.

### Mains use

Use the formula to structure equity-versus-efficiency analysis and quote only verified weights.

### Recap

Six criteria, 100 per cent: distance 42.5, population 17.5, and four 10s.

## SESSION 8 - Article 275 grants and transfer design

### VISUAL FIRST

| Transfer              | Legal base                                   | Allocation character                        |
|-----------------------|----------------------------------------------|---------------------------------------------|
| tax devolution        | Articles 270 and 280(3)(a)                   | formula-based share of net proceeds         |
| grants-in-aid         | Articles 275 and 280(3)(b)                   | need/principle-based grant from CFI         |
| public-purpose grants | Article 282                                  | discretionary Union or State spending power |
| tied grant            | grant conditions specify use                 | less recipient flexibility                  |
| untied grant          | broad permitted use                          | greater recipient discretion                |
| performance grant     | release linked to verified outcome/condition | incentive plus compliance                   |

### Definition

**Grants-in-aid** are transfers distinct from tax devolution; Article 280 recommends principles, while Article 275 authorises grants charged on the Consolidated Fund of India to States determined to need assistance.

### Answer line

Tax devolution supports general autonomy; grants can equalise residual need, finance merit goods or reward performance, but conditions must be transparent and proportionate.

### Must-write keywords

Article 275 - grants-in-aid - Consolidated Fund of India - tied - untied - performance grant

### Finance-Commission-specific paragraph model

- **Claim:** A well-designed transfer system uses devolution for predictable general resources and grants for clearly identified residual problems.
- **Named evidence:** Articles 275(1), 280(3)(b) and 282; FC-16 Chapters 9-11.
- **Analysis:** Separating instruments makes accountability clearer: devolution follows a formula, while grant design can specify purpose, entry condition, performance or matching responsibility.
- **Qualification:** Article 275 includes constitutionally specific provisos concerning Scheduled Tribes and Scheduled Areas; do not reduce it to a generic discretionary subsidy.

### Evidence and explanation

- **[FACT] Article 280(3)(b)** asks the Commission to recommend principles governing Article 275 grants and sums payable to States for purposes outside the provisos to Article 275(1).
- **[FACT] Article 275** permits different sums for different States determined to need assistance and charges the grants on the Consolidated Fund of India.
- **[FACT] Article 282** is a separate public-purpose spending power; it is not the constitutional source of tax devolution.
- **\*\*[ANALYSIS]** Tied grants protect a national service objective; untied grants protect State choice; performance grants can incentivise results but may penalise low-capacity States unless design accounts for starting conditions.

### Prelims trap

Do not add grants to the vertical-devolution percentage or describe grants as a State's constitutional share of one pooled percentage.

### Mains use

Use the instrument table whenever a question asks whether fiscal transfers improve autonomy.

### Recap

Devolution distributes a pool; grants address a purpose or gap; Article 282 remains a separate channel.

## SESSION 9 - Local bodies: Union Finance Commission and State Finance Commission

### VISUAL FIRST

```
Article 243-I: Governor constitutes State Finance Commission every fifth year
|
+-- reviews Panchayat finances and recommends State-level sharing/grants
|
Article 243-Y: applies the SFC finance-review logic to Municipalities
|
Article 280(3)(bb)/(c): Union FC recommends measures to augment
State Consolidated Funds, based on SFC recommendations
|
State allocation + onward transfer + local accounts/audit
```

### Definition

Local-body augmentation under Article 280 is an indirect federal chain: the Union Finance Commission strengthens State Consolidated Funds so States can supplement Panchayats and Municipalities.

### Answer line

The Union Finance Commission is not a national municipal allocator; local fiscal decentralisation remains State-mediated and constitutionally linked to State Finance Commissions.

### Must-write keywords

Article 243-I - Article 243-Y - Article 280(3)(bb) - Article 280(3)(c) - augmentation

### Finance-Commission-specific paragraph model

- **Claim:** Local fiscal federalism depends on two Commissions operating at different constitutional levels.
- **Named evidence:** Articles 243-I, 243-Y and 280(3)(bb)/(c); FC-16 Chapter 10.
- **Analysis:** A strong SFC supplies local needs and devolution evidence; the Union FC can then design augmentation without substituting for State responsibility.
- **Qualification:** The Constitution currently retains the words 'on the basis of the recommendations made by the Finance Commission of the State'. FC-16 recommended deleting that phrase by amendment, but no such amendment was located by the control date.

### Evidence and explanation

- **[FACT] Article 243-I** requires the Governor to constitute an SFC within one year of the 73rd Amendment's commencement and every fifth year thereafter.
- **[FACT] Article 243-Y** requires the SFC constituted under Article 243-I to review Municipal finances and make recommendations.
- **\*\*[CURRENT]** FC-16 linked local grants to duly constituted bodies, public accounts/audit and timely SFC constitution plus State-legislature action-taken reporting.
- **\*\*[CURRENT]** The Union accepted FC-16's detailed local-body grant design; rural-local-body operational guidelines were officially reported as issued on 21 May 2026.

### Prelims trap

Do not say the Union Finance Commission directly divides money among every Panchayat or Municipality.

### Mains use

Use the chain to explain why delayed SFCs weaken both decentralisation and grant eligibility.

### Recap

SFC diagnoses and recommends within the State; Union FC augments the State fund; States transfer onward.

## SESSION 10 - Disaster-risk financing

### VISUAL FIRST

RISK FINANCE

```
|
+-- State level: SDRF + SDMF = Rs 2,04,401 crore (2026-31)
|   +-- SDRF Rs 1,63,521 crore
|   +-- SDMF Rs 40,880 crore
|
+-- National level: NDRF + NDMF = Rs 79,406 crore (2026-31)
|
+-- data/eligibility: NDMIS validation from 2027-28
```

### Definition

**Disaster-risk financing** is the ex ante and ex post funding architecture for response, relief, recovery, reconstruction, preparedness and mitigation under the Disaster Management Act and Finance Commission recommendations.

### Answer line

FC-16 continues the shift from relief-only thinking to a response-plus-mitigation architecture, while tying later access to better data and utilisation discipline.

### Must-write keywords

SDRF - SDMF - NDRF - NDMF - risk index - NDMIS

### Finance-Commission-specific paragraph model

- **Claim:** Disaster grants are a specialised FC function referred through the President's terms of reference, not a free-standing Article 280 clause naming each fund.

- **Named evidence:** FC-16 Chapter 11 and Explanatory Memorandum paragraphs 20-25; MHA guidelines dated 31 July 2026.
- **Analysis:** Separate response and mitigation windows reduce the risk that all fiscal attention is absorbed by post-disaster relief.
- **Qualification:** Award-period corpus, annual allocation, release and utilisation are different quantities; do not present the five-year figure as one-year spending.

### Evidence and explanation

- **[CURRENT] State corpus:** Rs 2,04,401 crore for SDRF and SD MF together; Union share Rs 1,55,915.85 crore and State share Rs 48,485.15 crore.
- **[CURRENT] Cost sharing:** 75:25 for non-Northeastern and Hilly States and 90:10 for Northeastern and Hilly States.
- **[CURRENT] State corpus split:** SDRF:SD MF = 80:20; Rs 1,63,521 crore and Rs 40,880 crore.
- **[CURRENT] National corpus:** Rs 79,406 crore for NDRF and NDMF; the Union accepted the recommendations and MHA issued operational guidelines on 31 July 2026.

### Prelims trap

Rs 2,04,401 crore is the combined State-level corpus, not the national-level corpus.

### Mains use

Use this as a GS-III bridge: constitutional transfer design meets climate adaptation, mitigation and accountable data.

### Recap

Separate level, fund, period and purpose before quoting any disaster-finance number.

## SESSION 11 - Evolution from FC-14 and FC-15

### VISUAL FIRST

| Award          | Vertical share | Exam-relevant change                                                           |
|----------------|----------------|--------------------------------------------------------------------------------|
| FC-13          | 32%            | pre-jump baseline                                                              |
| FC-14, 2015-20 | 42%            | large rise in predictable, relatively untied tax devolution                    |
| FC-15, 2021-26 | 41%            | one-point adjustment associated with J&K reorganisation; six-criterion formula |
| FC-16, 2026-31 | 41%            | continuity vertically; new contribution-to-GDP criterion horizontally          |

### Definition

The **evolution of Finance Commission awards** shows continuity in equalisation but changing balances between autonomy, demographic fairness, ecology, effort and contribution.

### Answer line

The major recent story is not a linear rise in the headline percentage; it is the interaction of vertical share, horizontal criteria, grants and the size of the divisible base.

### Must-write keywords

FC-14 - 42 per cent - FC-15 - 41 per cent - continuity and change

### Finance-Commission-specific paragraph model

- **Claim:** FC-14 enlarged untied fiscal space; FC-15 recalibrated the share and formula; FC-16 retained 41 per cent but redesigned several criteria.
- **Named evidence:** FC-14 and FC-15 reports; FC-16 Chapters 7-9.



- **Analysis:** Comparative analysis reveals how an award can preserve overall vertical balance while changing who receives what and through which instrument.
- **Qualification:** Do not infer each State's fiscal outcome from the collective percentage; horizontal share, tax collection, grants and expenditure pressures differ.

### Evidence and explanation

- **[FACT] FC-14** raised the States' collective share from 32 to 42 per cent for 2015-20.
- **[FACT] FC-15** recommended 41 per cent for 2021-26 and used population, area, forest and ecology, income distance, demographic performance, and tax and fiscal effort.
- **[CURRENT] FC-16** retained 41 per cent and removed a separate tax/fiscal-effort criterion while adding contribution to GDP.
- **\*\*[ANALYSIS]** Evolution should be assessed through autonomy, equalisation, incentives and transfer composition rather than one percentage alone.

### Prelims trap

The one-point fall from 42 to 41 is not evidence that FC-15 rejected fiscal decentralisation wholesale.

### Mains use

This comparison directly answers the 2021 Mains PYQ and enriches current FC-16 analysis.

### Recap

Compare rate, formula, grants and context - never only the headline rate.

## SESSION 12 - Sixteenth Finance Commission: recommendation, acceptance and action

### VISUAL FIRST

| FC-16 item                           | Recommendation                    | Union response / implementation control            |
|--------------------------------------|-----------------------------------|----------------------------------------------------|
| award period                         | 2026-27 to 2030-31                | commenced 1 Apr 2026                               |
| vertical share                       | 41%                               | accepted                                           |
| horizontal formula                   | six criteria, Table 8.8           | accepted                                           |
| RDG / sector / State-specific grants | none recommended                  | assessment taken note of                           |
| local-body grants                    | Rs 7,91,493 crore                 | design accepted; RLB guidelines dated 21 May 2026  |
| State disaster funds                 | Rs 2,04,401 crore                 | accepted; operational guidelines dated 31 Jul 2026 |
| national disaster funds              | Rs 79,406 crore                   | accepted                                           |
| State net borrowing ceiling          | 3% of GSDP, excluding SASCI loans | accepted in principle                              |
| Union deficit to 3.5% by 2030-31     | recommended                       | to be examined separately                          |

### Definition

The **FC-16 current map** separates what the Commission recommended from what the Union accepted and what later instruments began to operationalise.

### Answer line

As of 8 September 2026, FC-16 is the operative award framework, but precise answers must retain the legal difference between an accepted formula, a Budget provision, a guideline and an actual release.

### Must-write keywords

17 November 2025 - 1 February 2026 - 2026-31 - accepted - taken note - implementation

### Finance-Commission-specific paragraph model

- **Claim:** Current affairs becomes constitutionally useful only when status verbs are controlled.
- **Named evidence:** FC-16 Report; February 2026 Explanatory Memorandum; Budget Speech 2026-27; official May/July 2026 implementation material.
- **Analysis:** The status matrix protects an answer from treating the entire report as either binding law or mere academic advice.
- **Qualification:** No public source located by the control date was used to claim that FC-16's proposed deletion of the SFC-reference phrase from Article 280 had become a constitutional amendment.

### Evidence and explanation

- **[CURRENT] Constitution/order:** constituted 31 December 2023 by S.O. 5533(E); deadline extended 10 October 2025 by S.O. 4640(E); report submitted 17 November 2025.
- **[CURRENT] Parliamentary stage:** report and action memorandum laid 1 February 2026 for 2026-27 to 2030-31.
- **[CURRENT] Budget stage:** Budget Speech 2026-27 stated Rs 1.4 lakh crore in Finance Commission grants for States, including rural/urban local-body and disaster-management grants.
- **\*\*[LIMIT]** No revenue-deficit, sector-specific or State-specific grant was recommended; this is not the same as constitutionally abolishing those categories forever.

### Prelims trap

Never write 'the report was accepted in full'. The Memorandum uses several different response categories.

### Mains use

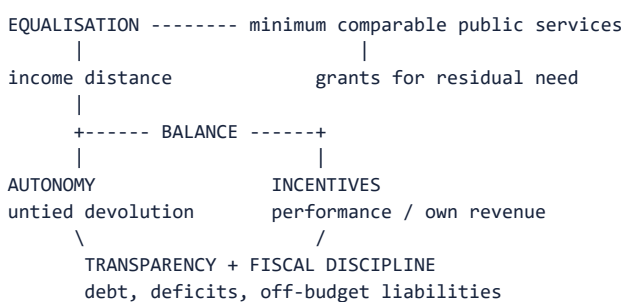
A current answer should quote one verified formula figure, one grant figure and one status qualification.

### Recap

Date, recommendation, response and implementing instrument must travel together.

## SESSION 13 - Equalisation, incentives, autonomy and fiscal discipline

### VISUAL FIRST



### Definition

A sound FC award balances equalisation, State autonomy, incentive compatibility, macro-fiscal stability and transparent accounting.

### Answer line

The best fiscal-federal design does not choose equity or efficiency absolutely; it makes redistribution predictable while ensuring that incentives and conditions do not punish structural disadvantage.

### Must-write keywords

equalisation - incentive compatibility - fiscal discipline - off-budget borrowing - transparency

### Finance-Commission-specific paragraph model

- **Claim:** Transfer design changes behaviour: unconditional resources expand choice, while conditions can improve services or distort priorities.
- **Named evidence:** FC-16 Chapters 8, 10 and 12; Explanatory Memorandum paragraph 26.
- **Analysis:** Income distance serves fiscal-capacity equalisation, performance grants reward verified conduct, and debt rules protect future fiscal space.
- **Qualification:** A uniform condition may be formally equal but substantively harsh for low-capacity States; incentive design should distinguish effort from inherited capacity.

### Evidence and explanation

- **[CURRENT] FC-16** recommended a 3 per cent of GSDP State fiscal-deficit cap excluding loans under the Special Assistance to States for Capital Investment.
- **\*\*[CURRENT]** The Union accepted in principle the recommended quantum of State net borrowing ceilings; off-budget borrowing, State FRL amendments and the Union fiscal-deficit path were left for separate examination.
- **\*\*[ANALYSIS]** Transparent disclosure of off-budget liabilities prevents governments from meeting a headline deficit by moving debt outside the budget.
- **\*\*[ANALYSIS]** Untied devolution supports autonomy; tied and performance grants are justified only where objective, measurable and administratively feasible.

### Prelims trap

Do not write that FC-16's Union deficit path of 3.5 per cent by 2030-31 was simply 'accepted'; the Memorandum says it will be examined separately.

### Mains use

Use a five-value framework: equity, efficiency, autonomy, discipline and transparency.

### Recap

A credible award equalises capacity, rewards genuine effort and exposes fiscal risk.

## SESSION 14 - Institutional distinctions

### VISUAL FIRST

| Body                     | Legal basis                          | Core job                                                         | What it does not do                  |
|--------------------------|--------------------------------------|------------------------------------------------------------------|--------------------------------------|
| Union Finance Commission | Article 280                          | periodic tax-sharing/grant recommendations                       | set GST rates or audit accounts      |
| GST Council              | Article 279A                         | cooperative recommendations on GST                               | decide FC vertical/horizontal shares |
| NITI Aayog               | Union executive resolution           | policy strategy and cooperative platform                         | make Article 280 awards              |
| CAG                      | Articles 148-151; Article 279 role   | audit and final net-proceeds certification                       | design devolution formula            |
| RBI                      | RBI Act and banking/fiscal functions | monetary policy, banking, State finance analysis/debt operations | constitutional transfer award        |
| State Finance Commission | Articles 243-I and 243-Y             | State-local fiscal review                                        | divide Union divisible pool          |

### Definition

Institutional clarity means identifying each body's source, membership, function, output and legal effect before making a comparison.

### Answer line

India's fiscal federalism is polycentric: the Finance Commission allocates, the GST Council coordinates tax policy, the CAG certifies, the RBI supports monetary/debt systems, NITI convenes policy, and SFCs connect States to local bodies.

### Must-write keywords

Article 280 - Article 279A - CAG - RBI - NITI Aayog - State Finance Commission

### Finance-Commission-specific paragraph model

- **Claim:** Overlapping fiscal subjects do not make institutions interchangeable.
- **Named evidence:** Constitutional provisions and official institutional mandates.
- **Analysis:** Correct institutional routing clarifies accountability: the actor who recommends may not be the actor who legislates, budgets, certifies, audits or releases.
- **Qualification:** The fact that two bodies make recommendations does not mean the Supreme Court's holding on one automatically governs the other.

### Evidence and explanation

- **[FACT] Finance Commission:** temporary periodic constitutional commission appointed by the President.
- **[FACT] GST Council:** continuing Union-State constitutional forum chaired by the Union Finance Minister with weighted voting under Article 279A.
- **[FACT] CAG:** final constitutional certifier of net proceeds under Article 279 and auditor of public accounts.
- **[FACT] RBI:** publishes State-finance analysis and supports government debt/cash management but does not award constitutional devolution shares.
- **[FACT] GST compensation:** the Compensation to States Act, 2017 created a statutory transition guarantee and compensation-cess mechanism; the protected compensation period ended on 30 June 2022. It belongs to GST Council/statutory history, not Article 280's constitutional core.

### Prelims trap

NITI Aayog replaced the Planning Commission as a policy institution; it did not replace or absorb Article 280.

### Mains use

Institutional comparison is a high-return method for both Prelims elimination and Mains analysis.

### Recap

Ask: constitutional source, recurring/permanent form, output, recipient and legal effect.

## SESSION 15 - Cases and legal boundaries

## VISUAL FIRST

### FINANCE COMMISSION

advisory by constitutional design

|  
+-- no verified Supreme Court holding in this package  
    converting its recommendations into binding decrees

### COMPARATIVE CASE:

Union of India v Mohit Minerals Pvt. Ltd. (2022)

|  
GST Council recommendations = persuasive, not binding

|  
use only to illustrate cooperative-federal recommendation;  
do not cite it as a Finance Commission holding

## Definition

Case-law discipline requires using a judgment only for the proposition it actually decided and the institution it actually interpreted.

## Answer line

*Mohit Minerals* helps compare recommendatory federal bodies, but Finance Commission advisory status must be grounded in Articles 280-281 and implementation practice, not falsely attributed to that GST judgment.

## Must-write keywords

Mohit Minerals (2022) - persuasive value - non-binding - comparative use - no invented litigation

## Finance-Commission-specific paragraph model

- **Claim:** A legally precise analogy can illuminate institutional design without converting comparison into precedent.
- **Named evidence:** Supreme Court, *Union of India v Mohit Minerals Pvt. Ltd.*, judgment dated 19 May 2022.
- **Analysis:** The Court's GST Council reasoning reflects collaborative federal dialogue; the FC's distinct constitutional text and Article 281 accountability independently explain its advisory character.
- **Qualification:** Do not state that *Mohit Minerals* decided any Finance Commission dispute, vertical share, cess issue or Article 280 enforceability question.

## Evidence and explanation

- **[FACT] Holding used:** GST Council recommendations are not binding on Union and States but have persuasive value in a collaborative federal process.
- **[FACT] Comparative boundary:** the judgment interprets Article 279A/GST, not Article 280.
- **\*\*[LIMIT]** This package avoids invented 'Finance Commission cases' and does not use general tax litigation unless it directly clarifies an owned proposition.
- **\*\*[ANALYSIS]** The safer exam method is text first, current official action second and comparison third.

## Prelims trap

Never write '*Mohit Minerals* held Finance Commission recommendations non-binding'.

## Mains use

Use the case in one qualified comparative sentence, not as the legal foundation of the FC.

## Recap

Holding + institution + boundary: all three are compulsory.

# SESSION 16 - Reform agenda and answer spine

## VISUAL FIRST

DEFINE -> DECODE ARTICLE -> IDENTIFY TRANSFER  
-> CLAIM -> NAMED EVIDENCE -> ANALYSIS -> QUALIFICATION  
-> REFORM -> BALANCED CONCLUSION

Reform rail:

annual CAG-certified pool disclosure  
-> sunset/review discipline for cesses  
-> transparent grant conditions  
-> timely SFCs and local accounts  
-> whole-government debt disclosure  
-> reasoned Union response and release dashboard

## Definition

A Finance Commission answer is complete when it links constitutional authority, fiscal mechanism, current evidence, federal trade-off and a realistic reform.

## Answer line

The Commission should remain periodic and independent while implementation becomes more transparent, State-sensitive and measurable across devolution, grants and debt.

## Must-write keywords

constitutional spine - transfer mechanism - named evidence - federal trade-off - qualified reform

## Finance-Commission-specific paragraph model

- **Claim:** Answer quality comes from controlled distinctions, not a catalogue of commissions.
- **Named evidence:** Articles 270-281, the 1951 Act, FC-16 Report and Explanatory Memorandum.
- **Analysis:** A claim-evidence-analysis-qualification structure turns figures into constitutional argument and prevents one-sided federal rhetoric.
- **Qualification:** Reform proposals must respect current constitutional exclusions; including cesses in the pool or deleting Article 280 words would require constitutional change, not an executive circular.

## Evidence and explanation

- **[ANALYSIS] Transparency:** publish CAG-certified net proceeds, reconciliation adjustments and release dashboards in machine-readable form.
- **[ANALYSIS] Autonomy:** preserve a strong untied-devolution core and rationalise overlapping conditional transfers.
- **[ANALYSIS] Local capacity:** enforce timely SFC cycles, common accounts, audits and prompt State onward transfer.
- **[ANALYSIS] Fiscal integrity:** disclose off-budget liabilities and apply borrowing rules consistently while protecting disaster and development investment.

## Prelims trap

A reform is not 'strengthen the Commission'; name the defect, actor, instrument and safeguard.

## Mains use

For 150 words use definition + 3 dimensions + one current fact + qualification; for 250 words add institutional comparison and reform.

## Recap

Conclude with cooperative federalism that is rule-based, transparent, equalising and autonomy-respecting.

Exactly 32 original MCQs appear before the PYQs. Correct-option sequence: ABCD repeated eight times.

## BASIC MCQS / REMEDIATION

### MCQ 1. Article 280 requires the President to constitute a Finance Commission:

A. every fifth year or earlier if the President considers necessary B. every five years only after a parliamentary resolution C. annually before the Union Budget D. whenever a majority of States requests one

**Answer: A**

#### Option-specific explanations:

- **A:** Article 280(1) expressly combines a five-year cycle with an earlier-constitution power.
- **B:** No parliamentary resolution is a precondition to constitution under Article 280.
- **C:** The Commission is periodic, not an annual pre-Budget body.
- **D:** State demand may influence politics but is not the constitutional trigger.

**Examiner trap 1:** The word 'or earlier' is frequently omitted in close options.

### MCQ 2. The constitutionally fixed composition of a Finance Commission is:

A. Chairman plus three members B. Chairman plus four other members C. five members plus Chairman D. a number fixed by each constituting order

**Answer: B**

#### Option-specific explanations:

- **A:** Three other members would understate the Article 280 composition.
- **B:** Article 280(1) fixes a total of five: one Chairman and four others.
- **C:** This would create six persons and is a standard numerical distractor.
- **D:** The order names members but cannot alter the constitutional size.

**Examiner trap 2:** Chairman plus four means five total, not six.

### MCQ 3. Who is constitutionally authorised to determine Finance Commission member qualifications by law?

A. President B. Union Cabinet C. Parliament D. Supreme Court

**Answer: C**

#### Option-specific explanations:

- **A:** The President appoints but Article 280(2) does not confer the law-making role on the President.
- **B:** The Cabinet may advise executive action but does not replace Parliament's statutory authority.
- **C:** Article 280(2) authorises Parliament, which enacted the 1951 Act.
- **D:** The Supreme Court interprets law; it does not prescribe these qualifications.

**Examiner trap 3:** Appointment by President does not mean qualifications are presidentially legislated.

### MCQ 4. Under the 1951 Act, the Chairman should be selected from persons with:

A. special knowledge of economics only B. experience as a High Court judge only C. government accounting certification D. experience in public affairs

**Answer: D**

#### Option-specific explanations:

- **A:** Economics is one pool for the other members, not the Chairman's exclusive qualification.
- **B:** Judicial qualification is an other-member category.
- **C:** The Act speaks of knowledge of government finance and accounts for an other-member pool, not this credential.

- **D:** Section 3 identifies experience in public affairs for the Chairman.

**Examiner trap 4:** Do not transfer the economist or judge category to the Chair.

#### MCQ 5. Which is one statutory qualification pool for an 'other member'?

A. A person qualified to be appointed a High Court judge B. A sitting Member of Parliament C. A serving Governor D. A former CAG only

**Answer: A**

**Option-specific explanations:**

- **A:** Section 3 includes a High Court judge, former judge or person qualified to be one.
- **B:** Legislative office is not a listed expertise category.
- **C:** Gubernatorial office is not a statutory qualification pool.
- **D:** Government-finance knowledge is broader than holding the office of CAG.

**Examiner trap 5:** The statute lists expertise categories, not designated constitutional offices.

#### MCQ 6. The Finance Commission's inquiry powers are best described as:

A. identical to the Supreme Court's appellate powers B. specified civil-court powers while the Commission determines its procedure C. ordinary criminal-court jurisdiction D. powers exercisable only through CAG

**Answer: B**

**Option-specific explanations:**

- **A:** The Commission has no appellate constitutional jurisdiction.
- **B:** Section 8 combines self-determined procedure with listed civil-court powers for evidence.
- **C:** Its mandate is recommendatory fiscal inquiry, not criminal adjudication.
- **D:** CAG certification is vital, but the Commission's statutory powers are its own.

**Examiner trap 6:** Quasi-judicial style is not judicial status.

#### MCQ 7. Which statement best captures the legal status of Finance Commission recommendations?

A. They automatically amend tax law. B. They bind courts but not Parliament. C. They are advisory but carry constitutional and political weight. D. They are enforceable only after GST Council endorsement.

**Answer: C**

**Option-specific explanations:**

- **A:** A recommendation cannot by itself enact or amend a law.
- **B:** Courts are not bound to administer an FC award as a decree.
- **C:** Articles 280-281 create reasoned advice with public accountability, not self-executing commands.
- **D:** GST Council endorsement is unrelated to an FC report's legal status.

**Examiner trap 7:** Advisory does not mean institutionally insignificant.

#### MCQ 8. Article 281 requires the President to place before each House:

A. only the accepted recommendations B. only a State-wise devolution table C. the report after a prior parliamentary vote D. the recommendations and an explanatory memorandum on action taken

**Answer: D**

**Option-specific explanations:**

- **A:** Article 281 is not limited to accepted portions.
- **B:** A table alone cannot satisfy the constitutional disclosure.
- **C:** The Article requires laying, not a prior legislative vote.



- **D:** This is the precise report-plus-memorandum accountability requirement.

**Examiner trap 8:** Laying and approving are different parliamentary acts.

### MCQ 9. Under Article 279, 'net proceeds' means:

A. tax or duty proceeds reduced by cost of collection B. gross tax revenue after grants C. Union revenue after interest payments D. divisible pool after horizontal allocation

**Answer: A**

#### Option-specific explanations:

- **A:** Article 279 uses the collection-cost deduction and CAG certification.
- **B:** Grants are a separate transfer and are not deducted to define net proceeds.
- **C:** Interest expenditure is not the constitutional deduction in this definition.
- **D:** Horizontal allocation occurs after the shareable net proceeds are identified.

**Examiner trap 9:** Net proceeds precede devolution; they are not the post-devolution remainder.

### MCQ 10. Which item is constitutionally excluded from Article 270 sharing?

A. Every amount of central GST B. An Article 271 surcharge for Union purposes C. All corporation-tax proceeds D. Every inter-State transaction

**Answer: B**

#### Option-specific explanations:

- **A:** Article 270(1A) incorporates relevant GST amounts into distribution.
- **B:** Article 271 surcharge proceeds belong wholly to the Union.
- **C:** Corporation tax is not universally outside the divisible pool.
- **D:** Inter-State supplies are handled through Article 269A apportionment, not blanket exclusion.

**Examiner trap 10:** Do not treat 'Union levied' as automatically 'Union retained'.

### MCQ 11. Article 269A is most directly associated with:

A. State Finance Commissions B. Article 275 grants C. levy, collection and apportionment of GST on inter-State supplies D. CAG certification of net proceeds

**Answer: C**

#### Option-specific explanations:

- **A:** SFCs arise under Articles 243-I and 243-Y.
- **B:** Grant principles are tied to Articles 275 and 280(3)(b).
- **C:** Article 269A is the inter-State GST levy-and-apportionment provision.
- **D:** CAG certification is Article 279.

**Examiner trap 11:** Article 269A is a GST route; Article 279A creates the GST Council.

### MCQ 12. Which distinction between Article 279A and Article 280 is correct?

A. Both create the same periodic commission. B. Article 280 creates the GST Council. C. Article 279A fixes horizontal tax shares. D. Article 279A creates the GST Council; Article 280 creates the Finance Commission.

**Answer: D**

#### Option-specific explanations:

- **A:** The GST Council is continuing; the Finance Commission is periodic.
- **B:** Article 280 concerns the Finance Commission, not GST Council.
- **C:** Horizontal devolution is an FC recommendation, not an Article 279A formula.
- **D:** This correctly separates two constitutional recommendatory institutions.

**Examiner trap 12:** Similar article numbers and recommendatory roles invite institutional mixing.

### MCQ 13. Vertical devolution answers which question?

A. What collective share of the divisible pool should States receive? B. How should one State divide money among municipalities? C. Which tax rate should the GST Council recommend? D. How should a State allocate its own-source revenue?

**Answer: A**

#### Option-specific explanations:

- **A:** Vertical devolution is the Union-versus-States collective split.
- **B:** Municipal distribution belongs to State/local finance arrangements.
- **C:** GST rates are outside the FC vertical-share task.
- **D:** State own-revenue allocation is not vertical devolution.

**Examiner trap 13:** Vertical is between levels, not within the State group.

### MCQ 14. Horizontal devolution refers to:

A. division of GST rates across slabs B. allocation of the States' collective share among States C. allocation between rural and urban local bodies D. division of grants between response and mitigation

**Answer: B**

#### Option-specific explanations:

- **A:** GST slab design is a GST Council matter.
- **B:** Horizontal devolution is the inter se State allocation.
- **C:** RLB-ULB allocation is a local-grant design choice.
- **D:** Disaster-fund windows are not the horizontal tax formula.

**Examiner trap 14:** Horizontal does not mean every distribution occurring at the same governmental level.

### MCQ 15. In FC-16, per-capita GSDP distance primarily advances:

A. uniform tax rates B. population control alone C. fiscal-capacity equalisation D. direct reimbursement of expenditure

**Answer: C**

#### Option-specific explanations:

- **A:** The criterion does not set tax rates.
- **B:** Demographic performance is a separate criterion.
- **C:** Larger distance from the benchmark gives lower-capacity States a larger relative allocation.
- **D:** It is a formula index, not reimbursement of audited bills.

**Examiner trap 15:** Income distance is an equalisation proxy, not a poverty or spending claim.

### MCQ 16. FC-16's area criterion applies which floor?

A. 0.5 per cent B. 1 per cent C. 2 per cent D. 1.5 per cent

**Answer: D**

#### Option-specific explanations:

- **A:** The report does not set a 0.5 per cent floor.
- **B:** One per cent is not the Technical Note rule.
- **C:** Two per cent was used by recent predecessors and was reduced.
- **D:** FC-16 uses a 1.5 per cent floor and proportionately rescales larger States.

**Examiner trap 16:** The previous two-per-cent floor is a tempting carry-forward error.

### MCQ 17. FC-16's forest variable includes:

A. weighted forest stock and increase, combined 80:20 B. only very dense forest area C. only forest increase after 2023 D. carbon-market revenue alone

**Answer: A**

#### Option-specific explanations:

- **A:** The report combines weighted stock with 2015-2023 increase in an 80:20 ratio.
- **B:** Moderately dense and open forest are also included with lower weights.
- **C:** The comparison ends in 2023 and does not use increase alone.
- **D:** Carbon-market revenue is not the defined horizontal criterion.

**Examiner trap 17:** FC-16 says forest, not the FC-15 label 'forest and ecology', and changes the method.

### MCQ 18. FC-16 measures demographic performance through:

A. current total fertility rate B. inverse population growth between the 1971 and 2011 Censuses C. share of elderly population in 2026 D. female literacy growth after 2011

**Answer: B**

#### Option-specific explanations:

- **A:** Current TFR was not retained as the FC-16 calculation.
- **B:** The report uses inverse 1971-2011 population growth for the per-capita amount.
- **C:** Ageing informed debate but is not the formula variable.
- **D:** Female literacy is not a horizontal criterion.

**Examiner trap 18:** Do not carry FC-15's inverse-TFR method into FC-16.

### MCQ 19. How is FC-16's contribution-to-GDP criterion transformed?

A. inverse of per-capita GSDP B. straight share of GST collections C. State square-root GSDP share in the sum of square-root GSDPs D. five-year average tax effort

**Answer: C**

#### Option-specific explanations:

- **A:** Inverse income belongs to an equalisation family, not the contribution measure.
- **B:** The criterion is based on GSDP, not GST collection share.
- **C:** The square-root transformation moderates extreme differences in output size.
- **D:** Tax effort is not a separate FC-16 criterion.

**Examiner trap 19:** GDP contribution is transformed; it is not a direct proportional output reward.

### MCQ 20. Which FC-16 criterion carries 17.5 per cent weight?

A. forest B. area C. demographic performance D. population (2011)

**Answer: D**

#### Option-specific explanations:

- **A:** Forest carries 10 per cent.
- **B:** Area carries 10 per cent.
- **C:** Demographic performance carries 10 per cent.
- **D:** Population based on Census 2011 carries 17.5 per cent.

**Examiner trap 20:** The FC-15 population weight was 15 per cent; FC-16 raised it.

**MCQ 21. Article 275 is most directly associated with:**

A. grants-in-aid of revenues of States from the Consolidated Fund of India B. GST Council voting C. CAG appointment  
D. State borrowing consent

**Answer: A**

**Option-specific explanations:**

- **A:** Article 275 is the constitutional grants-in-aid provision linked to FC principles.
- **B:** GST Council voting is Article 279A.
- **C:** The CAG office is principally Article 148.
- **D:** State borrowing consent is Article 293.

**Examiner trap 21:** Article 275 grants are distinct from Article 282 public-purpose grants.

**MCQ 22. Which statement correctly distinguishes devolution from grants?**

A. Both are the same percentage of gross tax revenue. B. Devolution shares net tax proceeds; grants are separate transfers for assessed principles or purposes. C. Grants alone are recommended by the Finance Commission. D. Devolution is always tied and grants always untied.

**Answer: B**

**Option-specific explanations:**

- **A:** They have different bases and cannot be collapsed into one GTR percentage.
- **B:** This captures the Article 270/280 versus Article 275 transfer distinction.
- **C:** Article 280(3)(a) expressly covers tax distribution.
- **D:** Either instrument's flexibility cannot be described by this absolute claim.

**Examiner trap 22:** A State receives both channels, but their legal character remains separate.

**MCQ 23. Under the accepted FC-16 local-body design, which statement is correct?**

A. All grants are tied. B. The performance component is 50 per cent. C. Basic and performance components are 80:20; half of basic is tied. D. Untied grants may be used without any restriction for salaries.

**Answer: C**

**Option-specific explanations:**

- **A:** Half of the basic component and all performance grants remain untied.
- **B:** Performance is 20 per cent, not 50 per cent.
- **C:** This states both the 80:20 and the within-basic 50:50 design correctly.
- **D:** The report bars salary and establishment use of untied grants.

**Examiner trap 23:** Do not confuse the 80:20 basic-performance split with the 50:50 tied-untied split inside basic.

**MCQ 24. Article 280(3)(bb) and (c) require the Union Finance Commission to recommend:**

A. direct municipal tax rates B. membership of every State Finance Commission C. district-wise grants paid without State involvement D. measures to augment State Consolidated Funds for Panchayat and Municipal resources

**Answer: D**

**Option-specific explanations:**

- **A:** Local tax rates are governed through State/local law.
- **B:** SFC composition is determined under State law pursuant to Article 243-I.
- **C:** The constitutional route is through augmentation of the State Consolidated Fund.
- **D:** This is the correct indirect local-body augmentation mandate.

**Examiner trap 24:** The Union FC supplements through the State; it is not a direct local allocator.

**MCQ 25. A State Finance Commission is constituted by the:**

A. Governor under Article 243-I B. President under Article 280 C. GST Council D. CAG

**Answer: A**

**Option-specific explanations:**

- **A:** Article 243-I places constitution of the SFC with the Governor.
- **B:** The President constitutes the Union Finance Commission.
- **C:** The GST Council does not appoint State Finance Commissions.
- **D:** The CAG audits and certifies but does not constitute SFCs.

**Examiner trap 25:** Both bodies use 'Finance Commission', but their appointing authorities and fiscal levels differ.

**MCQ 26. What did FC-16 recommend regarding revenue-deficit grants for 2026-31?**

A. A universal grant to every State B. No revenue-deficit grants C. Only one-year revenue-deficit grants D. Revenue-deficit grants only through GST Council

**Answer: B**

**Option-specific explanations:**

- **A:** The report did not create a universal RDG.
- **B:** FC-16 concluded that it would not recommend revenue-deficit grants.
- **C:** No one-year exception was stated in the recommendation.
- **D:** GST Council is not the grant-awarding institution.

**Examiner trap 26:** No current recommendation does not constitutionally abolish the grant category for future commissions.

**MCQ 27. The accepted FC-16 corpus for SDRF and SDMF together over 2026-31 is:**

A. Rs 79,406 crore B. Rs 1,63,521 crore C. Rs 2,04,401 crore D. Rs 7,91,493 crore

**Answer: C**

**Option-specific explanations:**

- **A:** Rs 79,406 crore is the national NDRF plus NDMF allocation.
- **B:** Rs 1,63,521 crore is the SDRF component alone.
- **C:** Rs 2,04,401 crore is the combined State-level SDRF and SDMF corpus.
- **D:** Rs 7,91,493 crore is the total local-body grant envelope.

**Examiner trap 27:** Three official grant totals test level and component, not mere memory.

**MCQ 28. Which response term applies to the FC-16 State borrowing-ceiling quantum?**

A. rejected B. taken note of only C. automatically constitutionalised D. accepted in principle

**Answer: D**

**Option-specific explanations:**

- **A:** The Explanatory Memorandum did not reject the recommended quantum.
- **B:** The 'takes note' formula applied to the no-RDG/sector/state-specific assessment.
- **C:** An executive response cannot itself constitutionalise a borrowing ceiling.
- **D:** The Government accepted in principle the quantum of State net borrowing ceilings.

**Examiner trap 28:** Accepted, accepted in principle and taken note of are not interchangeable.

**MCQ 29. The main federal concern with rising cesses and surcharges is that they:**

A. can reduce the divisible pool as a share of gross tax revenue B. are always unconstitutional C. are distributed only by State Finance Commissions D. automatically increase horizontal devolution

**Answer: A**

**Option-specific explanations:**

- **A:** Excluded levies can shrink the shareable base relative to total Union tax revenue.
- **B:** The Constitution expressly accommodates surcharge and specific-purpose cess exclusions.
- **C:** SFCs do not distribute Union cesses or surcharges.
- **D:** They do not automatically alter the inter se formula.

**Examiner trap 29:** A legitimate federal concern is not proof of constitutional invalidity.

**MCQ 30. Why are off-budget borrowings relevant to Finance Commission analysis?**

A. They determine GST Council votes. B. They can conceal liabilities and weaken credible deficit/debt assessment. C. They are always grants under Article 275. D. They are certified as divisible-pool taxes by CAG.

**Answer: B**

**Option-specific explanations:**

- **A:** Borrowing disclosure has no role in GST Council voting weights.
- **B:** Moving liabilities outside the budget can understate fiscal risk and debt.
- **C:** Borrowing and grants are different fiscal instruments.
- **D:** Debt liabilities are not taxes entering the divisible pool.

**Examiner trap 30:** A headline fiscal deficit may be incomplete if public entities borrow on government direction.

**MCQ 31. What proposition from Mohit Minerals (2022) is safe to use here?**

A. It fixed the States' Finance Commission share at 41 per cent. B. It included cesses in the divisible pool. C. GST Council recommendations are persuasive and non-binding; this is only a comparison. D. It invalidated Article 280.

**Answer: C**

**Option-specific explanations:**

- **A:** The judgment did not decide the FC-16 vertical share.
- **B:** It did not rewrite Articles 270-271.
- **C:** The Court's holding concerns GST Council recommendations and may be used comparatively with an express boundary.
- **D:** Article 280 was neither invalidated nor the subject of such a holding.

**Examiner trap 31:** Never convert a GST Council holding into a Finance Commission precedent.

**MCQ 32. GST compensation is best located as:**

A. a permanent Article 280 grant B. a CAG-created surcharge C. a State Finance Commission award D. a statutory GST-transition mechanism linked to GST Council history, not the FC constitutional core

**Answer: D**

**Option-specific explanations:**

- **A:** Compensation was not a permanent Article 280 grant category.
- **B:** The CAG does not create levies.
- **C:** SFCs concern State-local finance, not national GST compensation.
- **D:** The Compensation to States Act, 2017 implemented the GST transition guarantee and cess framework.

**Examiner trap 32:** GST compensation and Finance Commission devolution both affect States, but arise from different legal architectures.

## PYQS AND ANSWER PRACTICE

### Verified PYQ control

- **2018 GS-II Q14:** official question wording retained; descriptive papers have no official model-answer key.
- **2021 GS-II Q3:** official question wording retained; descriptive papers have no official model-answer key.
- **2023 Prelims Q29:** official question wording retained; the local official key was unavailable, so the answer is resolved from the official FC-15 report and is not labelled an official key.
- **2025 Prelims Q66:** official question wording retained; the official Set-A key records option C.
- **2025 GS-II Q14:** retained as an adjacent Centre-State financial-relations PYQ; the Finance Commission is one dimension, not the whole owner.

### PYQ 1 - UPSC GS-II 2018, Q14 - 15 marks, 250 words

**Question:** How is the Finance Commission of India constituted? What do you know about the terms of reference of the recently constituted Finance Commission? Discuss.

**Demand:** constitution + question-time Fifteenth Commission terms of reference + significance/limits.

**Model solution:** The Finance Commission is a periodic constitutional body under Article 280. The President constitutes it every fifth year or earlier, and appoints a Chairman and four other members. Article 280(2) authorises Parliament to prescribe qualifications; the Finance Commission (Miscellaneous Provisions) Act, 1951 requires public-affairs experience for the Chairman and provides judicial, government-finance, financial-administration and economics pools for the other members.

Its permanent constitutional reference is to recommend vertical and horizontal distribution of shareable net tax proceeds, principles governing Article 275 grants, measures augmenting State Consolidated Funds for Panchayats and Municipalities on the basis of State Finance Commission recommendations, and other presidentially referred matters in the interests of sound finance.

In the question's 2018 setting, the recently constituted Fifteenth Finance Commission was also asked to examine Union-State finances, grants, local bodies, disaster management and fiscal consolidation in a changed tax and policy environment. Additional terms can widen inquiry but cannot displace Article 280's core.

Recommendations remain advisory. Yet Article 281 requires the report and an explanatory memorandum on action taken to be laid before Parliament, giving the award transparency and political weight.

### PYQ 2 - UPSC GS-II 2021, Q3 - 10 marks, 150 words

**Question:** How have the recommendations of the 14th Finance Commission of India enabled the States to improve their fiscal position?

**Model solution:** The Fourteenth Finance Commission improved State fiscal space principally by raising their collective share in the divisible pool from 32 to 42 per cent for 2015-20.

First, the larger formula-based share increased predictable and relatively untied resources, enabling States to align spending with local priorities. Second, States gained more directly from buoyancy in shareable Union taxes. Third, greater general-purpose funds supported State-heavy functions such as health, education, agriculture and local infrastructure. Fourth, the change accompanied a wider shift away from plan-era discretionary assistance and placed greater responsibility on States for expenditure choices.

However, gains varied with each State's horizontal share, actual Union tax collection, grants, Centrally Sponsored Schemes, own revenue and debt pressures. Thus, FC-14 strengthened autonomy and budget predictability, but sustainable fiscal improvement still required State revenue effort and accountable spending.



### PYQ 3 - UPSC Prelims 2023, Q29

**Question:** Consider the following:

1. Demographic performance
2. Forest and ecology
3. Governance reforms
4. Stable government
5. Tax and fiscal efforts

For horizontal tax devolution, the Fifteenth Finance Commission used how many of the above as criteria other than population, area and income distance?

A. Only two B. Only three C. Only four D. All five

**Resolution:** Items 1, 2 and 5 were FC-15 criteria; governance reforms and stable government were not. Therefore the answer is **B, only three**. This is a report-based resolution, not an official-key claim.

### PYQ 4 - UPSC Prelims 2025, Q66

**Question:** Which statements regarding recommendations of the Fifteenth Finance Commission are correct?

I. It recommended Rs 4,800 crore from 2022-23 to 2025-26 to incentivise States to enhance educational outcomes. II. 45 per cent of net proceeds of Union taxes were to be shared with States. III. Rs 45,000 crore was kept as performance-based incentive for States undertaking agricultural reforms. IV. It reintroduced tax effort criteria to reward fiscal performance.

A. I, II and III B. I, II and IV C. I, III and IV D. II, III and IV

**Official-key-controlled solution:** I, III and IV are correct; II is incorrect because the collective share was 41 per cent. The official UPSC Set-A key records **C**.

### PYQ 5 - UPSC GS-II 2025, Q14 - adjacent owner

**Question:** Examine the evolving pattern of Centre-State financial relations in the context of planned development in India. How far have recent reforms impacted fiscal federalism in India?

**Model solution:** Centre-State finance has moved from a dual plan/non-plan transfer system toward a more rule-based but still mixed architecture. During planned development, the Planning Commission shaped plan assistance and Centrally Sponsored Schemes while Finance Commissions handled tax sharing, grants and non-plan revenue gaps. Overlap increased State dependence on Union discretion.

Recent reforms altered this balance. FC-14 raised vertical devolution from 32 to 42 per cent, enlarging untied resources. The Planning Commission was replaced by NITI Aayog and the plan/non-plan expenditure distinction ended. GST created an Article 279A coordination forum but pooled substantial indirect-tax autonomy. FC-15 set 41 per cent and FC-16 retained it for 2026-31 while revising horizontal criteria and strengthening local-body, disaster and transparency measures.

The impact is substantial but incomplete. Formula-based transfers aid autonomy and equalisation; however, cesses and surcharges reduce the shareable base, conditional schemes constrain flexibility, delayed SFCs weaken local finance and off-budget liabilities obscure risk. Reform should therefore combine transparent net-proceeds data, rationalised schemes, credible debt reporting and stronger State-local devolution.



## ORIGINAL SOLVED MAINS PRACTICE - EXACTLY SIX

### Original Mains 1 - 10 marks, 150 words

**Question:** Distinguish vertical and horizontal devolution and explain why both are necessary.

**Model solution:** Vertical devolution divides the Article 270 divisible pool between the Union and all States collectively; horizontal devolution distributes the States' share among individual States.

The first corrects the mismatch between the Union's stronger tax base and States' service-heavy responsibilities. FC-16's accepted 41 per cent vertical share is the current award rule for 2026-31. The second addresses unequal fiscal capacity and service-delivery cost across States. FC-16 therefore uses per-capita GSDP distance, population, demographic performance, area, forest and contribution to GDP.

Vertical sharing protects aggregate State fiscal space; horizontal sharing advances equalisation while recognising scale, ecology and contribution. Yet neither percentage alone determines outcomes: the divisible-pool base, grants, own revenues, debt and expenditure pressures matter. A balanced federation therefore needs both an adequate collective share and a transparent inter se formula.

### Original Mains 2 - 10 marks, 150 words

**Question:** Why are Finance Commission recommendations advisory but politically weighty?

**Model solution:** Article 280 directs the Finance Commission to recommend; it does not make every proposal self-executing law. Implementation may require a Presidential order, Budget appropriation, legislation, guidelines and State compliance. Hence the recommendations are advisory.

Their political and constitutional weight is nevertheless high. The President appoints an expert body at regular intervals; Union and State governments submit evidence; the report gives public reasons for a national distribution formula. Article 281 then requires the recommendations and an explanatory memorandum on action taken to be laid before each House of Parliament.

FC-16 illustrates the distinction: the Union accepted the 41 per cent share and horizontal formula, accepted State borrowing ceilings only in principle, took note of the no-revenue-deficit-grant assessment and left other items for separate examination. Thus, non-binding advice remains difficult to ignore because deviation must be publicly justified amid recurring federal negotiations.

### Original Mains 3 - 15 marks, 250 words

**Question:** Analyse the equity-efficiency balance in the Sixteenth Finance Commission's horizontal formula.

**Model solution:** The Sixteenth Finance Commission distributes the States' collective share through six criteria, combining equalisation, need, cost, ecology, demographic transition and economic contribution.

Equity remains dominant. Per-capita GSDP distance carries 42.5 per cent and gives larger relative allocation to States farther below the benchmark, correcting unequal fiscal capacity. Census 2011 population has 17.5 per cent, reflecting service scale. Area has 10 per cent with a 1.5 per cent floor, partly recognising cost disability.

Efficiency and externalities are integrated rather than isolated. The 10 per cent forest variable combines weighted forest stock with forest increase in an 80:20 ratio, compensating national ecological benefits and rewarding expansion. Demographic performance, also 10 per cent, uses inverse population growth between 1971 and 2011. Contribution to GDP receives 10 per cent, but square-root transformation moderates the dominance of large economies.

Compared with FC-15, tax/fiscal effort is removed as a separate criterion and GDP contribution is introduced. This makes growth contribution visible, while income distance preserves redistribution.

The balance is contestable: output can reflect inherited advantages, while strong equalisation may weaken visible reward for effort. Yet the formula avoids either extreme. Its legitimacy depends on transparent data, stable methods and recognition that horizontal shares do not alone determine State fiscal outcomes.

### Original Mains 4 - 15 marks, 250 words

**Question:** Examine the constitutional and practical relationship between the Union Finance Commission and State Finance Commissions.

**Model solution:** The Union Finance Commission and State Finance Commissions form a two-level fiscal-decentralisation chain but are not hierarchical versions of one institution.

Under Article 280, the President constitutes the Union Finance Commission to recommend Union-State tax sharing, Article 275 grant principles and measures augmenting State Consolidated Funds for Panchayats and Municipalities. Articles 280(3)(bb) and (c) presently require the local-body measures to be based on State Finance Commission recommendations.

Article 243-I requires the Governor to constitute an SFC every fifth year to review Panchayat finances and recommend State-local tax sharing, assignment of revenues and grants. Article 243-Y extends this review to Municipalities. Thus, the SFC diagnoses intra-State needs, while the Union Commission augments the State-level resource envelope; the State makes allocations and onward transfers.

In practice, delayed SFCs, uneven data and weak action-taken reporting impair this chain. FC-16 responded by linking local-grant eligibility to timely SFC constitution, public accounts and a State-legislature action-taken report. It also recommended deleting the constitutional phrase requiring Union FC reliance on SFC recommendations, but no amendment was located by 8 September 2026.

Reform should retain State responsibility while improving SFC regularity, common accounting, audited data and prompt transfer. The Union Commission should supplement, not substitute for, constitutionally decentralised State-local finance.

### Original Mains 5 - 20 marks, 250 words

**Question:** Critically examine the cesses-and-surcharges debate in Indian fiscal federalism.

**Model solution:** Cesses and surcharges expose the difference between a devolution rate and its tax base. Article 271 permits Parliament to levy surcharges for Union purposes, while Article 270 excludes such surcharges and specific-purpose cesses from the divisible pool. States therefore receive the recommended percentage of a legally narrower base than gross tax revenue.

States argue that growing excluded levies weaken the effective value of tax devolution and reduce untied fiscal space. FC-16's data show the divisible pool averaging 89.2 per cent of gross tax revenue in the FC-13 period, 82.1 per cent in FC-14 and 78.3 per cent in FC-15. This supports a base-erosion concern.

However, the Commission rejected the stronger claim that the FC-14 increase had been almost wiped out: total Finance Commission transfers remained materially above the FC-13 period. It also noted the Union's need for targeted fiscal capacity and that cess-funded schemes can benefit States.

FC-16 did not recommend including excluded levies in the pool or imposing a numerical cap, viewing such options as constitutionally problematic. Reform should therefore begin with annual CAG-certified net-proceeds disclosure, transparent utilisation, purpose-specific accounting and sunset review. Any inclusion or cap must follow the correct constitutional route.

The balanced conclusion is that exclusions are constitutionally valid, yet their scale and duration remain legitimate questions of federal accountability.

### Original Mains 6 - 20 marks, 250 words

**Question:** Evaluate the Sixteenth Finance Commission as an instrument of cooperative fiscal federalism.

**Model solution:** The Sixteenth Finance Commission combines continuity in vertical sharing with significant redesign in horizontal devolution, local finance, disaster funding and fiscal transparency.

Its accepted 41 per cent State share preserves a predictable untied core for 2026-31. Horizontally, 42.5 per cent per-capita GSDP distance keeps equalisation central, while Census 2011 population, inverse 1971-2011 demographic performance, area, weighted forest and square-root-transformed GDP contribution balance need, cost, ecology and growth.

The Commission recommended no revenue-deficit, sector-specific or State-specific grants, but proposed Rs 7,91,493 crore for local bodies, Rs 2,04,401 crore for State disaster funds and Rs 79,406 crore for national disaster funds. Accepted local grants combine basic, performance, tied and untied components; later guidelines began operationalisation. It also sought annual disclosure of CAG-certified net proceeds and stronger debt transparency.

The design nevertheless raises concerns. Cesses and surcharges continue outside the pool; conditions may burden low-capacity States; delayed SFCs weaken local transfers; and several fiscal-roadmap proposals were accepted only in principle or left for separate examination. Recommendations remain advisory and implementation depends on orders, budgets, guidelines and compliance.

FC-16 is therefore a substantial cooperative-federal instrument, not a complete settlement. Its success should be judged by transparent implementation, real State autonomy, equalising outcomes, timely local transfers and honest whole-government debt accounts.

## OPTIONAL ADVANCED DEPTH - NOT REQUIRED FOR A CORE ANSWER

### ADVANCED SESSION A - Formula mechanics without false precision

#### VISUAL FIRST

State share = weighted sum of six relative indices

17.5 population + 10 demographic + 10 area + 10 forest  
+ 42.5 per-capita GSDP distance + 10 GDP contribution

#### Definition

The formula converts each State's data into a relative share under each criterion and then combines the six shares using Table 8.8 weights.

#### Answer line

FC-16 preserves equalisation as the dominant logic but moderates it with scale, ecology, demographic transition and a transformed contribution measure.

#### Must-write keywords

relative index - benchmark - floor - square root - weighted forest stock

#### Finance-Commission-specific paragraph model

- **Claim:** FC-16 redesigned several indices rather than merely changing weights.
- **Named evidence:** FC-16 Technical Note to Chapter 8.
- **Analysis:** the 1.5 per cent area floor, top-three GSDP benchmark and square-root transformation reduce extreme distributional shifts.
- **Qualification:** the formula remains normative; no criterion perfectly captures need, cost or effort.

#### Evidence and explanation

- **[CURRENT] Area:** States below or equal to 1.5 per cent of total area receive the floor; remaining shares are proportionately rescaled.
- **[CURRENT] GSDP distance:** benchmark is the average per-capita GSDP of Telangana, Karnataka and Haryana; the fourth-highest distance is assigned to those three, Goa and Sikkim.
- **[CURRENT] Reference data:** average nominal per-capita GSDP/GSDP for 2018-19 to 2023-24, excluding 2020-21.

#### Prelims trap

'Income distance' does not mean poverty headcount or a subtraction from national average income.

#### Mains use

Explain why equalisation variables need smoothing rules to avoid discontinuities.

## Recap

Formula design = variable + data period + transformation + weight.

## ADVANCED SESSION B - Local-body grant architecture

### VISUAL FIRST

| Element                          | FC-16 accepted design                                                                  |
|----------------------------------|----------------------------------------------------------------------------------------|
| total 2026-31                    | Rs 7,91,493 crore                                                                      |
| basic : performance              | 80 : 20 for RLBs and ULBs                                                              |
| national basic+performance split | RLB : ULB = 60 : 40                                                                    |
| basic component                  | 50% tied; 50% untied                                                                   |
| performance component            | untied                                                                                 |
| tied uses                        | sanitation/solid-waste management and/or water management                              |
| urban additions                  | Rs 10,000 crore urbanisation premium; Rs 56,100 crore special infrastructure component |

### Definition

FC-16 local-body grants combine basic service finance, performance incentives, urban transition and selected urban infrastructure.

### Answer line

Local grants are constitutionally mediated through State funds but operationally conditioned by local institutions, accounts, SFC regularity and service outcomes.

### Must-write keywords

basic - performance - tied - untied - entry conditions - onward transfer

### Finance-Commission-specific paragraph model

- **Claim:** FC-16 uses grant conditions to improve both service delivery and fiscal institutions.
- **Named evidence:** Explanatory Memorandum paragraphs 7-19.
- **Analysis:** accounts, audit and SFC regularity make transfer eligibility reinforce decentralised accountability.
- **Qualification:** conditions should not permit the Union or State to add extra barriers beyond the accepted design.

### Evidence and explanation

- **[CURRENT] Entry conditions:** duly constituted local bodies; online provisional accounts for T-1 and audited accounts for T-2; timely SFC and State action-taken report within six months.
- **[CURRENT] Onward transfer:** State should transfer grants within ten working days or add interest at the preceding year's effective State Development Loan rate.
- **[CURRENT] Untied limit:** no more than 20 per cent for roads; no salaries or establishment expenditure.

### Prelims trap

'Untied' does not mean legally unrestricted.

### Mains use

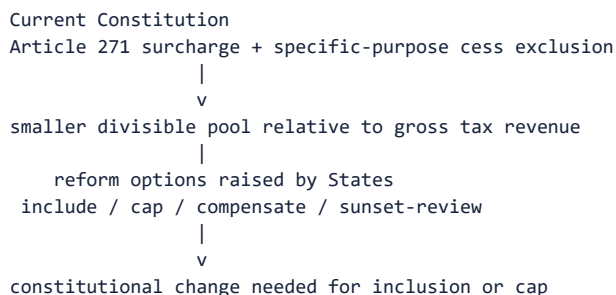
Show how fiscal incentives can improve local accountability while respecting local choice.

### Recap

Eligibility -> basic/performance -> tied/untied -> prompt onward transfer.

## ADVANCED SESSION C - Cesses, surcharges and constitutional reform choices

### VISUAL FIRST



### Definition

The cess-surcharge debate concerns the difference between the constitutional shareable base and total Union tax mobilisation.

### Answer line

The federal concern is real, but the legal route matters: a Finance Commission cannot by recommendation alone rewrite Articles 270-271.

### Must-write keywords

base erosion - constitutional design - sunset review - gross tax revenue - transparency

### Finance-Commission-specific paragraph model

- **Claim:** rising excluded levies can weaken the effective value of a stable devolution percentage.
- **Named evidence:** FC-16 Chapter 7 records the divisible-pool share of GTR declining across the FC-13 to FC-15 periods.
- **Analysis:** States receive the recommended percentage of the legally defined pool, but the pool may represent a smaller portion of total tax revenue.
- **Qualification:** FC-16 found that the FC-14 gain had not been almost wiped out and did not recommend constitutional inclusion or a cap.

### Evidence and explanation

- **[FACT]** Cess normally carries a specified purpose; surcharge under Article 271 is for Union purposes.
- **[ANALYSIS]** Better disclosure, purpose tracking and periodic review can improve accountability even without immediate constitutional amendment.

### Prelims trap

Do not describe all cess proceeds as unused or all cess-funded spending as absent from States.

### Mains use

Argue for evidence-led reform rather than treating every excluded levy as unconstitutional.

### Recap

Valid exclusion can still create a legitimate federal-policy debate.

## ADVANCED SESSION D - FC-16 implementation dashboard

## VISUAL FIRST

| Stage                          | Verified by 8 Sep 2026                            | Not inferred                    |
|--------------------------------|---------------------------------------------------|---------------------------------|
| report                         | submitted 17 Nov 2025                             | no automatic enforceability     |
| parliamentary laying           | 1 Feb 2026                                        | no vote required by Article 281 |
| Union response                 | item-specific status in Memorandum                | not blanket acceptance          |
| Budget                         | Rs 1.4 lakh crore grants provision for FY 2026-27 | not five-year release           |
| RLB guidelines                 | reported issued 21 May 2026                       | not proof every State qualified |
| disaster guidelines            | issued 31 Jul 2026                                | not proof of full utilisation   |
| Article 280 amendment proposal | report recommends deleting SFC-reference phrase   | no enacted amendment located    |

### Definition

An implementation dashboard records the legal and fiscal stage of each recommendation rather than describing the report as wholly operative or wholly optional.

### Answer line

Constitutional federalism is implemented through a chain of recommendations, reasons, orders, appropriations, conditions and audited outcomes.

### Must-write keywords

status control - order - appropriation - guideline - release - audit

### Finance-Commission-specific paragraph model

- **Claim:** transparent implementation is as important as formula design.
- **Named evidence:** Article 281 Memorandum plus 2026 Budget and ministry guidelines.
- **Analysis:** stage-wise disclosure allows Parliament, States and citizens to identify whether delay lies in acceptance, allocation, eligibility or release.
- **Qualification:** later releases and State compliance remain time-sensitive and must be freshly verified.

### Evidence and explanation

- **[CURRENT]** The Memorandum said orders on accepted Article 270, local-body and disaster recommendations would follow Presidential authorisation.
- **[CURRENT]** Subsequent Budget and guideline evidence shows partial operationalisation, not proof of every order or release.

### Prelims trap

'Award began' is not the same as 'every recommendation became law on 1 April 2026'.

### Mains use

Add a status dashboard as a transparency reform.

### Recap

Report -> response -> instrument -> allocation -> release -> audit.

# CONSOLIDATED REGISTER NOTES

## Core constitutional identity

- Article 280: President constitutes a Finance Commission every fifth year or earlier.
- Total composition: Chairman plus four other members.
- Core job: vertical sharing, horizontal allocation, Article 275 grant principles, local-body augmentation and additional referred sound-finance matters.
- Recommendations are advisory; constitutional weight comes from expertise, reasons, recurring federal negotiation and Article 281 disclosure.

## Revenue-flow strip

classify tax -> remove constitutional exclusions -> deduct collection cost  
-> CAG-certified net proceeds -> divisible pool -> vertical share  
-> horizontal formula -> State receipt

| Article | Decode                                                    |
|---------|-----------------------------------------------------------|
| 269     | specified inter-State taxes assigned to States            |
| 269A    | inter-State GST levied/collected by Union and apportioned |
| 270     | shareable Union taxes and relevant GST distribution       |
| 271     | Union-purpose surcharge excluded from sharing             |
| 275     | grants-in-aid of State revenues                           |
| 279     | net proceeds; CAG certificate final                       |
| 279A    | GST Council                                               |
| 280     | Finance Commission                                        |
| 281     | report plus explanatory memorandum before Parliament      |
| 282     | separate public-purpose grant power                       |

## Constitution versus 1951 Act

- Constitution: body, periodicity, total size, appointing authority and functions.
- 1951 Act: Chairman's public-affairs experience; other-member expertise pools; prejudicial-interest screen; disqualification; term/reappointment/resignation; procedure and civil-court inquiry powers.
- Trap: civil-court powers do not make the Commission a court.

## Vertical and horizontal devolution

- Vertical = Union versus all States; FC-16 accepted share = 41 per cent of the divisible pool.
- Horizontal = among twenty-eight States.
- FC-16 formula: GSDP distance 42.5; population 17.5; demographic performance 10; area 10; forest 10; GDP contribution 10.
- Demography = inverse population growth, 1971-2011; not current TFR.
- Area = 1.5 per cent floor.
- Forest = 80:20 weighted stock/increase; VDF/MDF/OF = 1.0/0.65/0.30.
- GDP contribution = square-root-transformed GSDP share.

## Grants, local bodies and disaster finance

- Devolution is a tax share; grants are separate transfers.
- Article 275 principles are recommended by FC; Article 282 remains a separate public-purpose channel.
- Tied = specified use; untied = broader choice; performance = release linked to conditions/results.
- SFC: Governor, Article 243-I; Article 243-Y municipal review.
- Union FC augments State Consolidated Funds; it does not directly allocate to every local body.
- FC-16 local grants: Rs 7,91,493 crore, 2026-31; basic:performance 80:20; half of basic tied.
- State disaster corpus: Rs 2,04,401 crore; national corpus: Rs 79,406 crore.

## Sixteenth Finance Commission current card - controlled to 8 September 2026

- Constituted: 31 December 2023, S.O. 5533(E).
- Deadline extension: 10 October 2025, S.O. 4640(E).
- Report submitted: 17 November 2025.
- Report and Explanatory Memorandum laid: 1 February 2026.
- Award: 2026-27 to 2030-31.
- Accepted: 41 per cent vertical share, horizontal formula, local-body and disaster designs, annual CAG-certified net-proceeds disclosure.
- Taken note of: no RDG, sector-specific or State-specific grants.
- Accepted in principle: quantum of State net borrowing ceilings.
- Separate examination: Union deficit path, off-budget borrowing and State FRL changes.
- Budget 2026-27: Rs 1.4 lakh crore in FC grants for States including local bodies and disaster management.
- Implementation evidence: RLB guidelines dated 21 May 2026; disaster-fund guidelines dated 31 July 2026.

## Institutions and case

- Finance Commission: Article 280 transfer recommendation.
- GST Council: Article 279A GST coordination; not the devolution body.
- NITI Aayog: executive policy platform; no Article 280 award.
- CAG: final Article 279 net-proceeds certificate and audit.
- RBI: monetary/debt institution and State-finance evidence source; no constitutional award.
- SFC: State-local fiscal review.
- *Mohit Minerals* (2022): GST Council recommendations persuasive/non-binding; comparison only, not an FC holding.

## High-yield traps

1. Chairman + four = five total.
2. Parliament prescribes qualifications; President appoints.
3. 41 per cent is of divisible-pool net proceeds, not gross tax revenue.
4. Vertical is between levels; horizontal is among States.
5. Tax/fiscal effort is not a separate FC-16 criterion.
6. No FC-16 RDG does not abolish future RDGs constitutionally.
7. Award corpus is not annual Budget provision or actual release.
8. Article 281 laying is not parliamentary adoption.
9. UFC local-body role is State-fund augmentation, not direct local allocation.
10. GST compensation is statutory GST history, not Article 280's constitutional core.



## Mains answer spine

Define fiscal problem

- > decode Articles 270/275/279/280/281
- > identify devolution or grant mechanism
- > state one FC-specific claim
- > cite report/Act/Article/current memorandum
- > analyse equity-autonomy-efficiency-discipline
- > qualify base, status or implementation
- > propose precise reform
- > conclude with transparent cooperative federalism

## Qualified conclusion

The Finance Commission is strongest when a transparent shareable base, equalising formula, State autonomy, credible incentives, timely local-body finance and whole-government fiscal disclosure operate together. It is advisory in law but central to the legitimacy of India's fiscal federation.